Research Evolution - NVIDIA

Final packaging audit, October 19, 2026: the student reports completing all work except Video 3, which is IN PROGRESS. Named Video 1, Video 2 and Cold Run files were located and copied to recordings/. Corrected transcripts and remote URLs/access are not yet verified. See FINAL_SUBMISSION_CHECKLIST.md for current status; earlier pending statements are historical.

The original independent Edition A draft is unavailable. The supplied historical AI-revised Edition A and the explicitly retrospective recollection are preserved unchanged. The student reports the professor replied, "That should work. Submit them as your plan. We will make our judgement call with our reads." This permits the reported packaging plan; it does not establish independent authorship or guarantee a grade. The original message and checkpoint receipt have not been independently verified.

Historical baseline and preservation

The baseline is submission/Project 1 Edition A - NVIDIA.md. Original Edition A SHA256: 37fda98fc446517f3a0ca4f4a1e1d736c4422ded984bd101d42809c396a154b8. Its text is preserved unchanged. This comparison describes what the document says and what later AI-assisted research produced; it does not reconstruct the student's beliefs or certify AI-off authorship.

Current decision

For a hypothetical fund with no NVDA position: **DO NOT INITIATE (student judgment)** at the verified historical close$217.44. Model envelope$54.05-$220.58, base$133.97. Illustrative80%-of-base entry threshold$107.18, conditional on thesis and evidence quality. Five-year operating forecast;3-5year investment horizon; USD/share;24268m diluted proxy shares. These are analyst rules and scenarios, not a supplied fund mandate or confidence interval.

Edition A to Edition B

Topic	Historical Edition A	Current AI-assisted Edition B	Reason and evidence
Recommendation	Watch-defer pending valuation and demand research	Student DO NOT INITIATE; model WATCH / DEFER	Student reflection rejects initiation after valuation and growth stress; the mechanical baseline is unchanged
Valuation date	September1,2026	Same date	Maintains comparability; later information excluded from model facts
Financial base	FY2026 10-K annual evidence	Annual history plus Q2 FY27 10-Q	Original SEC statements; sources/sec_verified_facts.json
Balance and securities	Annual cash/securities less debt; separate strategic adjustments planned	Interim mapped balances, public/non-marketable investments, restricted securities and claims	SEC opening balances and bridge treatment; outputs/filing_revision_review.md
Dilution	Annual diluted-EPS computation;155m incremental effect	Rounded cover basic shares plus168m outstanding awards	Different concepts and dates; full-vesting proxy remains qualified
Operating forecast	Research plan and qualitative assumptions	Five linked forecast intervals, accounting checks and explicit driver challenges	model.mjs; ASSUMPTIONS.md; statement outputs
Valuation	DCF and multiples proposed; no target in the baseline	FCFF DCF, reverse DCF, WACC/g and qualified annualized-H1 peer screens	Current executable model; peer limitations remain explicit
Demand and downside	Overinvestment, competition, concentration and export questions	Joint operating downside, cash-conversion stress and monitoring thresholds	Scenario assumptions operationalize questions; they do not prove end-user returns
Falsification question	Text labels a question as partner-generated	Retained as a historical question only	No actual partner identity or contribution is certified by this label

The annual financial anchors were verified against the original10-K; interim data and the two corrections use the original10-Q. Market close uses a separate historical-price source. Forecasts and cost-of-capital judgments are not reported facts.

Consequential revisions to AI work

The subsequent AI bridge omitted restricted public equity reported within Other assets. Including it at the existing15% haircut adds$0.173622 per share. Applying the filed amortization schedule changes base value by$-0.005943. Together the prior AI base$133.81 becomes$133.97; this is a correction to AI work, not a change to Edition A.

Earlier AI results remain distinguishable: the archived107.44 valuation was FCFE on a different date basis and is not comparable to this FCFF result; the filed H1 revenue177837 takes precedence over the rounded quarterly total177836. Current source and model checks are listed in docs/validation-and-ai-use.md.

Unresolved questions and ownership

Independent end-customer utilization/returns, precise spot capital actions, beta/ERP support, peer normalization and detailed commitment losses remain incomplete. The student rejects the AI WATCH/DEFER classification in the supplied Edition B reflection. Other assumptions remain qualified. No personal reflection, AI-off prediction, partner contribution, recording, transcript or receipt is generated here. The professor response is student-reported; see the packaging disclosure above.

Final student judgment and test

Student final judgment: DO NOT INITIATE. Restored baseline mechanical output: WATCH / DEFER at $133.97 versus the September 1, 2026 close of $217.44. The student rejects initiation because the evidence does not justify the price; the separately tested 10% FY28-31 growth path yielded $93.18 and mechanically DO NOT INITIATE. Source: submission/Edition_B_Student_Reflection.md; original reflection preserved.

The action prediction failed: the student expected WATCH/DEFER to remain, but the model returned DO NOT INITIATE. See outputs/student_test_review.md for the threshold diagnosis and preserved evidence. This is a documented change in judgment, not a changed baseline forecast.

The unchanged Edition A Markdown is supplied separately in submission/Project 1 Edition A - NVIDIA.md. No historical submitted PDF or receipt has been verified; the appendix is a current rendering of the preserved file, not a recreated historical checkpoint PDF. The professor response is student-reported; see the packaging disclosure above.

What changed from Edition A to Edition B, and why?

The historical watch/defer research position became the student's DO NOT INITIATE recommendation after the valuation, slower-growth test and demand-risk assessment. The mechanical restored-base rule remains WATCH / DEFER. The change table above attributes evidence; the following original student files are reproduced without editing their text.

Appendix: preserved historical AI-revised Edition A (current rendering, not checkpoint receipt)

Project 1 Edition A - NVIDIA Corporation

Decision and user

Decision user: The fund's investment committee.

Decision: Whether the fund should initiate a position in NVIDIA Corporation (NASDAQ: NVDA), place the company on a research watchlist, or decline the opportunity.

Company and valuation date

- **Company:** NVIDIA Corporation

- **Ticker:** NVDA

- **Valuation date:** September 1, 2026

- **Primary filing:** NVIDIA FY2026 Form 10-K, fiscal year ended January 25, 2026

- **SEC accession:** 0001045810-26-000021

- **Filing date:** February 25, 2026

Initial thesis: watch-defer

Place NVIDIA on the watchlist and defer initiation until the research establishes a defensible valuation using a verified September 1, 2026 share price, a normalized forward earnings base, and scenario-tested Data Center demand.

The business evidence is exceptional: NVIDIA has a dominant accelerated-computing platform, extraordinary profitability, and a net-cash balance sheet. However, FY2026 Data Center revenue already represents approximately 90% of consolidated revenue, customer concentration is material, and the filing identifies export controls, product transitions, supply commitments, and AI-infrastructure spending cycles as consequential risks. Without a verified market valuation and independent evidence about the durability of hyperscaler and end-customer demand, initiating would confuse business quality with investment attractiveness.

Known evidence

Unless stated otherwise, monetary values are USD millions and come from NVIDIA's FY2026 Form 10-K.

1. **Scale and growth.** FY2026 revenue was $215,938, up 65% from $130,497. Operating income was $130,387, up 60%, and net income was $120,067, up 65%. Diluted EPS was $4.90 versus $2.94. Source: NVIDIA FY2026 Form 10-K, Consolidated Statements of Income, p. 51 and MD&A, p. 37. SEC filing

2. **Primary operating-value driver.** Data Center revenue was $193,737 versus $115,186 in FY2025, an increase of $78,551 or 68.2%. It represented 89.7% of consolidated revenue. Within Data Center, compute revenue was $162,361 and networking revenue was $31,376. Management reported 59% growth in Data Center compute and 142% growth in Data Center networking, driven by Blackwell demand and networking-platform expansion. Source: Form 10-K, Revenue by End Market, p. 79, and MD&A, p. 40. SEC filing

3. **Liquidity and leverage.** Cash and cash equivalents were $10,605 and marketable securities were $51,951, for total cash, cash equivalents, and marketable securities of $62,556. Debt had a net carrying amount of $8,468, consisting of $999 short-term and $7,469 long-term. This implies $54,088 of net liquid financial assets before other valuation adjustments. Source: Form 10-K, Consolidated Balance Sheets, p. 53; Note 11, p. 70. SEC filing

4. **Diluted-share evidence.** Basic weighted-average shares were 24,359 million; outstanding equity awards added 155 million; diluted weighted-average shares were therefore 24,514 million. The filing excluded 41 million anti-dilutive awards. Source: Form 10-K, Note 4, p. 63. SEC filing

5. **Customer concentration.** Two direct customers represented 22% and 14% of FY2026 revenue, primarily attributable to Compute & Networking. The company also estimated that one AI research and deployment company contributed a meaningful amount of revenue through purchases of cloud services from NVIDIA's customers. Source: Form 10-K, MD&A, p. 40. SEC filing

6. **Commitment intensity.** Manufacturing, supply, and capacity commitments were $95.2 billion, substantially all expected to be paid through FY2027. Multi-year cloud-service commitments were $27 billion, and investment commitments were $11.4 billion. Source: Form 10-K, Note 12, p. 70. SEC filing

7. **China and export-control exposure.** NVIDIA states that U.S. export controls have effectively foreclosed it from the China data-center compute market and could continue to harm its competitive position and results. Source: Form 10-K, Risk Factors. SEC filing

Consequential assumptions

1. AI training and inference demand will continue expanding fast enough to support NVIDIA's much larger FY2026 revenue base.

2. Blackwell and subsequent architectures will preserve a meaningful performance and total-cost-of-ownership advantage over competing GPUs, custom accelerators, and internally developed hyperscaler chips.

3. CUDA, networking, systems, and software will sustain switching costs and prevent accelerated-computing hardware from becoming a commodity.

4. Major customers will earn adequate returns on AI infrastructure, allowing capital expenditures to remain durable rather than reverse after a capacity buildout.

5. NVIDIA can execute annual product transitions without material shipment delays, inventory write-downs, or customer pauses.

6. Foundry, packaging, memory, power, and data-center capacity will support demand on commercially acceptable terms.

7. Export controls will not expand enough to offset growth in permitted markets.

8. Reported cash and marketable securities are substantially available for valuation purposes; any restricted or strategic holdings will be adjusted separately.

9. A normalized valuation must account for stock-based compensation, dilution, cyclicality, and the possibility that FY2026 margins exceed a sustainable level.

Unknowns

1. Verified NVDA closing share price and fully diluted equity value on September 1, 2026.

2. Current consensus and independently supportable revenue, EPS, free-cash-flow, and margin expectations for FY2027-FY2031.

3. The portion of Data Center purchases representing genuine end-user consumption versus inventory, pre-ordering, or speculative capacity construction.

4. Customer-level AI infrastructure utilization, pricing, and return on invested capital.

5. The durability of purchases by the largest direct customers and the unnamed AI research and deployment company.

6. Blackwell gross margin by product configuration and the normalized economics of rack-scale systems compared with stand-alone accelerators.

7. The earnings and cash-flow effects of supply, cloud-service, investment, and facility-guarantee commitments under a downside-demand scenario.

8. The likely competitive effect of hyperscaler custom silicon, AMD, emerging accelerators, and changes in AI model efficiency.

9. The probability and financial impact of future U.S. and foreign export restrictions.

10. A defensible terminal growth rate, normalized operating margin, reinvestment requirement, and cost of capital.

Research plan

1. **Lock the valuation date.** Obtain and document the September 1, 2026 closing price, basic shares outstanding, incremental option/award dilution, debt, cash, marketable securities, nonoperating investments, and any noncontrolling or preferred claims. Reconcile equity value to enterprise value.

2. **Build the historical model.** Enter and reconcile FY2024-FY2026 income statements, balance sheets, and cash flows. Separate Data Center compute, Data Center networking, Gaming, Professional Visualization, Automotive, and OEM/Other revenue.

3. **Normalize earnings and cash flow.** Analyze gross margin, operating expenses, stock-based compensation, working capital, capital expenditures, investment gains, acquisition effects, and the $4.5 billion H20-related charge.

4. **Test demand durability.** Triangulate hyperscaler capital-expenditure plans, supplier capacity, cloud GPU availability and pricing, AI workload growth, end-customer utilization, and order lead times. Distinguish shipments from economically productive installed capacity.

5. **Map competition and moat.** Compare performance, cost per token, energy use, developer adoption, networking, software breadth, and switching costs across NVIDIA, custom ASICs, AMD, and other accelerators.

6. **Stress commitments and concentration.** Model customer-spending reductions, inventory corrections, export-control expansion, product-transition delays, and obligations under supply, cloud-service, investment, and facility-guarantee arrangements.

7. **Value the company.** Produce base, bull, and bear DCF cases plus EV/revenue, EV/EBIT, EV/free-cash-flow, and P/E comparisons. Make revenue growth, normalized margin, reinvestment, dilution, and terminal assumptions explicit.

8. **Define the decision rule.** Recommend initiation only if the base case offers an adequate expected return and the bear case preserves acceptable downside relative to the fund's hurdle rate and position-sizing rules.

Partner-generated falsification question

> What evidence would prove that NVIDIA's FY2026 Data Center growth reflects temporary AI infrastructure overinvestment rather than durable end-customer demand?

This question is intentionally unanswered in Edition A.

Source record

- NVIDIA Corporation, FY2026 Form 10-K, fiscal year ended January 25, 2026, filed February 25, 2026, accession 0001045810-26-000021. SEC filing index

- Local filing supplied for the project: Nvidia 26 10K.pdf.

Appendix: retrospective recollection (not original Edition A)

Edition A - Retrospective Recollection

NVIDIA Corporation

Date: October 19, 2026

Document status: Retrospective recollection - not the original Edition A.

Academic Integrity Disclosure

My original Edition A work was revised with ChatGPT assistance. Although I initially developed my thoughts independently, I mistakenly submitted the AI-revised version rather than my original writing. I no longer have access to my original draft.

This document is a retrospective recollection of my initial thinking, not a reproduction of the original document. The AI-revised submission has been preserved separately.

My Original Thinking

NVIDIA is an exceptionally strong company with a dominant position in the AI ecosystem. Its revenue and profitability had increased dramatically over the past few years due to demand for AI infrastructure. NVIDIA's premier technology, such as its GPUs and software, made it difficult for others to challenge its dominant position. With that being said, you still have to factor in if a company's price is correctly valued.

My Initial Concerns

AI spending might slow down in the future once the initial build-out phase slows down. NVIDIA relies on a small number of customers. AMD and custom AI chips developed by other companies might soon challenge NVIDIA's market position. NVIDIA's future earnings and cash flows might not grow fast enough to justify an expensive stock price.

What I Remember About My Investment Recommendation

My initial recommendation was to WATCH/DEFER, rather than purchasing NVIDIA stock. While there are strong pros, the cons are also quite risky. I believe the central question is if the large current AI build out will cause significant returns for the companies buying NVIDIA's chips.

Appendix: preserved student Edition B reflection

Edition B - Investment Decision

Final recommendation: DO NOT INITIATE

I would not recommend initiating a position in NVIDIA based on the current valuation evidence. The historical market price of $217.44 exceeds my model's base-case estimate of $133.97 per share.

I also tested a scenario with 10% annual revenue growth across the forecast periods. Although this still assumes consistent positive growth, the estimated share value fell to $93.18. This reinforced my concern that NVIDIA's current market valuation requires substantially stronger performance than my model supports.

The AI-generated analysis recommended WATCH / DEFER. I disagree with that classification and prefer DO NOT INITIATE because the available evidence does not justify purchasing the shares at the valuation date.

I would reconsider this conclusion if the market price declined sufficiently or credible new evidence supported materially higher sustainable cash flows.